

PRESENTED AT

INVESTOQUEST

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HDFC Bank Limited — Equity Valuation & Investment Research

InvestoQuest × CFM × Unicorn India Ventures | Institutional Coverage

RATING

BUY

High Conviction

TARGET PRICE

₹1,240

12-Month Forward

CMP

₹731

NSE: HDFCBANK

MARKET CAP

₹11.56 L Cr

Private Sector Leader

Analyst Note: All data sourced from HDFC Bank annual reports, NSE filings, Q3 FY26 earnings presentation, and recognized databases including Screener.in, Bloomberg, and Moneycontrol. This report is for institutional use only.

India's Largest Private Sector Bank: A Financial Conglomerate

REVENUE ENGINE (Q3 FY26)

71% NII

Net Interest Income share. Standalone net revenue rose 8.9% to ₹458.7B, driven by a 6.4% increase in NII to ₹326.2B.

SCALE & ASSET BASE

₹18L Cr

Combined asset base post-merger. HDFC Bank is now one of the world's largest banks by assets and India's largest mortgage lender.

DISTRIBUTION NETWORK

8,300+

Branches across India. Added 71 branches in Q3 FY26 alone, maintaining one of India's widest physical networks.

DIGITAL ADOPTION

~95%

Of active clients use digital platforms. Predominantly domestic focus with representative offices in key global financial centers.

CORE BUSINESS SEGMENTS & REVENUE MODEL

HDFC Bank earns revenue primarily through the spread between borrower charges and depositor payouts (NII), plus non-interest income (fees, forex, treasury).

- Retail Banking:** Highest margin/volume. Home loans are now 25% of loan book (up from 6% pre-merger). Includes personal/auto loans, credit cards, and CASA.
- Wholesale / Corporate Banking:** Lending to large corporates, trade finance, and cash management services for institutional clients.
- Commercial & Rural Banking:** MSME lending and agri-finance. Average advances under management stood at ₹28,641 billion (+9.0% YoY).
- Treasury Operations:** Forex, derivatives trading, fixed income, and liquidity management to ensure stability.

CONSOLIDATED SUBSIDIARY ECOSYSTEM

On a consolidated basis, Q3 FY26 profit after tax grew 12.2%, supported by a robust ecosystem capturing value across the financial services spectrum:

- HDB Financial Services:** 74.1% stake; high-growth NBFC arm for consumer and SME lending with strong earnings momentum.
- HDFC Life Insurance:** Leading private life insurer.
- HDFC ERGO:** Major player in general insurance.
- HDFC AMC:** Asset management powerhouse with ~₹7 lakh crore+ AUM.
- HDFC Securities:** 94.38% stake; serving 7.1 million customers across 131 branches.

THE MERGER & GOVERNANCE DEVELOPMENTS

The integration with HDFC Limited (effective July 1, 2023) was a game-changer, but it brought structural shifts and recent governance noise:

- The Mortgage Shift:** Home loans surged to 25% of the book, fundamentally altering the asset mix and yield profile.
- Chairman Resignation:** Part-time Chairman Atanu Chakraborty resigned on March 18, 2026, citing personal ethics concerns.
- Interim Leadership:** Keki Mistry appointed as Interim Chairman for a three-month stabilization period.
- CEO Succession Watch:** CEO Sashidhar Jagdishan's term ends in October 2026. This makes leadership succession a critical near-term investor monitorable.

5-Year Financial Snapshot: Resilient Profitability Through Merger Disruption

P&L SUMMARY METRIC	FY22	FY23	FY24	FY25	Q3 FY26 (LTM)
Net Interest Income	~₹186bn	~₹235bn	~₹287bn	~₹305bn	₹326bn (Q)
Net Profit (PAT)	~₹125bn	~₹161bn	~₹165bn	~₹175bn	₹187bn (Q)
Gross NPA	1.17%	1.12%	1.24%	1.42%	1.24%
Net NPA	0.32%	0.27%	0.33%	0.46%	0.42%
NIM	4.0%+	4.1%	~3.6%	3.43%	3.35%
ROA	1.9%	2.0%	1.9%	1.9%	1.9%
ROE	17%+	18%+	~16%	~14.4%	13.9%

PROFITABILITY ANALYSIS

PAT for Q3 FY26 stood at ₹18,654 crore, up 11.5% YoY. NII grew 6.4% to ₹32,620 crore. Total net revenue increased 8.9% to ₹45,870 crore for the quarter.

Return on Assets stood at 1.9% and Return on Equity at 13.9% for Q3 FY26. Book value per share is ₹352.6 on a standalone basis.

Advances increased by 10.2% YoY to ₹30.57 lakh crore for the March 2026 quarter — the second straight quarter of double-digit growth.

ASSET QUALITY

1.24%

GNPA ratio. Industry-best asset quality; near-pristine loan book (0.42% NNPA). The ex-agri GNPA is only **0.97%**, indicating almost zero stress in the non-agricultural book.

CAPITAL BUFFER

19.9%

Basel III CAR. Extreme capital buffer, well above the 11.9% regulatory minimum requirement. CET1 at **17.4%** signals exceptional balance sheet fortification.

FUNDING BASE

33.6%

CASA Ratio. Low-cost funding base supporting margins. Deposits rose to ₹28,601 billion with YoY growth of **11.6%** catching up with credit growth.

EFFICIENCY

39.2%

Core Cost-to-Income. Highly efficient operations post-merger integration. The bank is successfully managing operating expenses while expanding its massive 8,300+ branch network.

NIM COMPRESSION — THE CORE CONCERN

3.35%

Q3 FY26 NET INTEREST MARGIN

HDFC Bank was historically known for industry-leading NIMs, **often above 4%**. The merger has brought this figure down to around 3.35% in Q3 FY26.

This is largely due to the **higher cost of inherited HDFC Ltd borrowings** and the higher mix of lower-yielding mortgage loans.

MANAGEMENT OUTLOOK: Margin improvement will depend on reducing the cost of funds over time.

The bank expects to grow loans 2 percentage points above system growth in FY27, creating a structural earnings lever.

Why HDFC Bank Deserves Attention Right Now: The "HDFC 2.0" Turnaround

THE CENTRAL INVESTMENT THESIS

HDFC Bank is at a classic cyclical trough of a structural growth story. The merger-induced NIM compression and governance noise have created a **temporary but significant valuation dislocation**. Analysts view this as the "buy-the-dip" moment in India's most institutionally-respected private bank. The core franchise remains pristine, and multiple near-term catalysts are aligning to drive a substantial re-rating over the next 18-24 months.

1. NIM RECOVERY IMMINENT

NIM fell from ~3.8% to 3.43% as the bank prioritized deposit mobilisation. Analysts project recovery of **10–15 bps in Q4 FY26**. A recovery to 3.7% by FY27 hinges on slower deposit repricing. Every 10 bps improvement translates to **~₹2,500–₹3,000 crore** in incremental annual NIL.

2. LDR DE-RISKING

Loan-to-Deposit ratio peaked at 110% post-merger but moderated to **~96% by March 2026** through aggressive deposit mobilization. Target is below 90% by FY27, unlocking the ability to grow the loan book aggressively without being constrained by deposit shortfalls.

3. MASSIVE CROSS-SELLING

Only **30%** of legacy HDFC Ltd mortgage customers currently have HDFC Bank savings accounts. Converting the remaining 70% represents tens of millions of accounts—a zero-cost deposit mobilization opportunity of unparalleled scale.

4. LOAN GROWTH RE-ACCELERATION

Projections indicate a **13% CAGR** for loans from FY26–28. Bank expects to grow loans **2% above system growth** in FY27 (system at 12-13%), implying ~14-15% CAGR. This marks the second straight quarter of double-digit growth.

5. SUBSIDIARY VALUE UNLOCKING

HDFC Life, AMC, ERGO, and HDB Financial Services operate in high-growth sectors (insurance penetration is only ~4%). The consolidated P/E multiple on parent earnings **significantly understates** the true conglomerate intrinsic value.

6. STRUCTURAL BANKING TAILWIND

Indian banking in 2026 features moderate inflation and **13-15% credit growth**. As global supply chains shift via China+1, HDFC's corporate lending arm is a primary beneficiary of the massive domestic manufacturing push.

COMPETITIVE MOAT & DURABLE ADVANTAGES

8,300+ Branches

Largest private sector network providing an insurmountable geographic barrier to competition.

3.48 Crore+ Cards

Largest credit card issuer in India with exceptionally high cross-sell potential and fee generation.

1.24% GNPA

Proven underwriting discipline across credit cycles vs sector average of ~2.5%+.

Digital Leadership

PayZapp, SmartHub, One-click onboarding. Digital-first banking is a survival requirement.

Brand Trust

"Most Valuable Indian Bank Brand" per Brand Finance; most trusted and highly distributed.

Balanced Risk Assessment: What Can Go Wrong, and How Much Does It Matter?

Comprehensive Risk Assessment Matrix

Risk Factor	Probability	Impact	Severity	Current Status & Financial Implication
NIM Recovery Delay	HIGH	HIGH	CRITICAL	NIMs dropped to ~3.35%. Bank needs 18-19% deposit growth to lower LDR. If RBI delays rate cuts, recovery pushed to FY28, materially compressing earnings estimates.
Governance Vacuum	MEDIUM	HIGH	CRITICAL	Chairman resigned Mar 2026; CEO term ends Oct 2026. Uncertainty can delay strategic decisions and dampen FII inflows, weighing on valuation multiples for 12-24 months.
Unsecured Retail Credit	MEDIUM	MEDIUM	SIGNIFICANT	Unsecured portfolio is ~10-12% of book. Rising industry delinquencies. Any GNPA spike challenges the premium asset quality narrative and requires higher provisions.
Geopolitical / Oil Shock	MEDIUM	MEDIUM	SIGNIFICANT	Crude >\$100/bbl increases inflation. If RBI pauses rate cuts, interest rate tailwind weakens. Systemic credit growth could slow if activity doesn't normalize by H1 FY27.
Integration Complexity	LOW-MED	MEDIUM	SIGNIFICANT	Technical integration of mortgage systems into core banking is a multi-year project. Outages would damage retention, though execution has been strong in first 9 months.
Fintech Disintermediation	MEDIUM	LOW-MED	MODERATE	PhonePe/GPay dominate UPI. Bank must continuously upgrade digital interfaces. Fee income could erode if the bank fails to own the payments interface.
Regulatory Tighter Norms	LOW	MEDIUM	MODERATE	RBI's tighter unsecured lending norms could constrain growth in high-margin segments. However, 19.9% CAR provides a massive buffer against regulatory tightening.

Primary Risk Deep Dives

1: NIM Compression & Deposits	2: Governance & Leadership	3: Macro & Geopolitical Shocks
NIMs dropped from ~4.1% pre-merger to ~3.35% in Q3 FY26 due to high-cost inherited HDFC Ltd borrowings. - The Deposit Imperative: The bank must substantially increase deposits—requiring an estimated 18–19% growth—to effectively lower the Loan-to-Deposit ratio. - Financial Implication: If system-wide deposit competition intensifies and the RBI delays rate cuts, NIM recovery could be pushed to FY28. This represents the most material near-term risk to earnings estimates.	Part-time Chairman Atanu Chakraborty resigned March 18, 2026. Interim Chairman Keki Mistry appointed for 3 months. - Upcoming Catalyst: CEO Sashidhar Jagdishan's current term ends October 2026, and the reappointment decision is pending. - Valuation Impact: Uncertainty at the top can delay strategic decisions, dampen institutional FII inflows, and weigh on valuation multiples for 12–24 months. However, operational management remains fully intact.	The West Asia conflict has driven crude oil above \$100 per barrel, increasing domestic inflation risks. - Interest Rate Impact: If the RBI pauses its rate-cutting cycle due to inflation concerns, the interest rate tailwind for banks may weaken significantly. - Systemic Slowdown: Ambit Capital projects systemic credit growth in the 11–13% range under a base case. A prolonged oil shock could push this lower, affecting HDFC's 14-15% growth target.

Multi-Method Valuation Confirms Deep Undervaluation

METHOD 1: RELATIVE VALUATION (PEER COMPARISON)

METRIC	HDFC BANK	ICICI BANK	AXIS BANK	KOTAK MAHINDRA
CMP (April 2026)	₹731	₹1,289	₹1,231	~₹1,900
Market Cap	₹11.56 L Cr	₹10 L Cr	~₹4.5 L Cr	~₹3.8 L Cr
P/E (TTM)	~15.4x	~16.3x	~16.1x	~31.8x
P/B (FY27E adj.)	1.6x	~2.0–2.1x	~1.5x	~3.0x
NIM (Q3 FY26)	3.35%	4.30%	~3.9%	~4.8%
GNPA	1.24%	1.53%	1.43%	~1.5%
ROE	13.9%	17.9%	~14%	~15%
ROA	1.9%	2.32%	~1.5%	~2.0%

INTERPRETATION: HDFC Bank's valuations at 1.6x estimated FY27 adjusted book value represent a 20% discount to ICICI Bank and a 10–20% discount to Axis Bank and Kotak Mahindra Bank. On a price-to-earnings basis, HDFC Bank trades in line with ICICI Bank and at a 10–15% premium to Axis Bank and Kotak.

Given HDFC Bank's historically superior franchise quality, dominant market position, and best-in-class asset quality (GNPA 1.24%), a valuation discount to ICICI Bank is not structurally justified — it is a temporary, merger-overhang discount. Pre-merger, HDFC Bank commanded 3x+ P/B vs. ICICI's 1.8x. Reverting to even a neutral parity (2.0x FY27 BV) implies a target price of ~₹1,100.

METHOD 2: DCF VALUATION & CONSENSUS

Cost of Equity (Ke): 13%		Terminal Growth: 7%		
Loan CAGR (FY26-28): 13-14%		FY27E NIM: 3.50%		
FY26E	FY27E	FY28E	FY29E	FY30E
₹53–55 EPS	₹60–65 EPS	₹72–78 EPS	₹85–90 EPS	₹98–105 EPS
~10-12% YoY	~15% YoY	~18% YoY	~15% YoY	~14% YoY
Using a conservative 13x FY28E EPS of ~₹75 implies a 12-month forward target of ₹975–₹1,100. GuruFocus calculates HDFC Bank's DCF intrinsic value at ₹1,918 (FCF-based) as of March 2026, classifying the stock as "Modestly Undervalued."				
ANALYST CONSENSUS: Price targets range from ₹1,400 to ₹1,950. CLSA maintains Accumulate (₹1,200 target), expecting core PPOP to grow at 18% CAGR over FY26–28. Jefferies initiated Buy (₹1,240 target), citing strong asset quality and 14% ROE for FY27.				

SCENARIO ANALYSIS SUMMARY

BULL CASE NIM 3.7%+; LDR<90%; re-rating to ICICI parity	₹1,400–₹1,575 +91–115% Upside
BASE CASE NIM recovers to 3.5%; CEO reappointed	₹1,100 +50% Upside
BEAR CASE NIM stays at 3.35%; governance crisis continues	₹800 +9% Downside

BUY — Asymmetric Risk-Reward at a Generational Valuation Entry Point

INVESTMENT VERDICT

BUY

12-MONTH TARGET PRICE

₹1,100–₹1,240

INVESTMENT HORIZON

18–24 Months

DOWNSIDE RISK (BEAR CASE)

~10% (₹800 Floor)

UPSIDE POTENTIAL

50–70%

RISK-REWARD RATIO

5:1 to 7:1

THE CORE THESIS

HDFC Bank combines a high-quality franchise and a cyclical valuation trough with near-term catalysts for re-rating. Temporary governance noise and merger-related margin pressure have created a compelling buying opportunity for long-term investors. The bank's core franchise remains the most trusted, most distributed, and most liquid in India.

THE BULL CASE IN ONE PARAGRAPH

HDFC Bank is currently trading at 1.6x FY27 adjusted book — a level not seen in over a decade — while its fundamentals remain intact: capital adequacy at 19.9%, GNPA at 1.24%, deposits and advances both growing at ~11–12% YoY. The NIM compression is structural but time-bound — as high-cost HDFC Ltd borrowings mature and CASA growth resumes, every 10 bps of NIM recovery adds ~₹3,000 crore to NII. With only 30% of legacy HDFC Ltd mortgage customers holding HDFC Bank savings accounts, the untapped cross-selling pipeline is enormous.

KEY MONITORABLES (RE-RATING TRIGGERS)

Q4 FY26 Results (Apr 18)

NIM trajectory and FY27 guidance will validate margin recovery thesis; watch CASA growth acceleration.

CEO Reappointment

Sashidhar Jagdishan's term ends Oct 2026. Reappointment would reduce governance uncertainty and support flows.

CD Ratio & NIM

A CD ratio below 90% and NIM >3.5% signal structural recovery and readiness for aggressive growth.

HDB Financial IPO

Potential IPO could unlock subsidiary value and provide optionality for capital deployment.

THE BEAR CASE SCENARIO (₹800 FLOOR)

The primary downside risk involves NIM staying depressed at 3.35% due to intensified deposit competition and delayed RBI rate cuts, pushing earnings recovery to FY28. If combined with a prolonged leadership vacuum post-October 2026, the stock could test the ₹800 level. However, the robust 19.9% CAR and pristine asset quality provide a massive floor, limiting downside to just ~10%.

Appendix: Supplementary Data & Methodology

KEY ABBREVIATIONS & GLOSSARY

CASA	Current Account Savings Account
NIM	Net Interest Margin
LDR	Loan-to-Deposit Ratio
GNPA	Gross Non-Performing Assets
CAR	Capital Adequacy Ratio
ROE / ROA	Return on Equity / Assets
PPOP	Pre-Provision Operating Profit

DATA SOURCES & REFERENCES

- *HDFC Bank Annual Reports (FY22–FY25)*
- *HDFC Bank Q3 FY26 Earnings Presentation & Call Transcripts*
- *NSE (National Stock Exchange) Historical Data & Filings*
- *RBI (Reserve Bank of India) Statistical Tables & Banking Norms*
- *Institutional Reports: CLSA, Jefferies, Ambit Capital, Jefferies Research*
- *Financial Portals: Bloomberg, Moneycontrol, Screener.in, GuruFocus*
- *Brand Finance: Banking 500 Report (2025/26)*

ADDITIONAL SUBSIDIARY INSIGHTS

HDB Financial Services	ROE: ~15%+, 1,600+ Points of Presence
HDFC AMC	Market Share: ~11-12% in Equity AUM
HDFC Life	Market Share: ~20% in Private Sector NBP

DISCLAIMER

This presentation is for academic and competition purposes only. The information provided is based on publicly available data as of April 2026. The authors do not provide any investment advice. Past performance is not indicative of future results. All figures are approximate and subject to market fluctuations.

Thank You

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